

GDS Holdings

Outperform

AI demand ignites solid beat

Key Points

- GDS' strong 1Q26 beat was driven by accelerated hyperscale cloud onboarding and surging demand for high-performance AIDC resources.
- Net new bookings of ~200MW hit a quarterly record high, and is well on track to surpass company's annual target of 500MW new bookings.
- Reiterate Outperform/Marquee Buy as a strong backlog enhances revenue visibility into 2027E and onwards.

- Strong 1Q26 results.** Net revenue of Rmb3.4bn (+24% YoY) beat MQe by 17% and Visible Alpha (VA) consensus by 13%. Adjusted EBITDA of Rmb1.9bn (+47% YoY) beat MQe by 35% and VA by 37%.
- Solid booking momentum in 1Q26.** GDS secured 200MW of new capacity as of 1Q26, placing it well on track to surpass its full-year 500MW target. The company continued to demonstrate superior execution by securing multiple high-profile, large-scale commitments from core customers, with management indicating a 500–800MW/year pipeline over the next three years, with upside potential. In our view, GDS is well positioned to capture this demand given its substantial land bank of ~4GW, providing ample capacity for future development and sales conversion. To support delivery, GDS expects annual capex to remain elevated at Rmb30–50bn, underpinning the buildout required to meet its expanding order backlog.
- Earnings outlook remains solid.** Overall, we remain optimistic towards the move-in pace, and expect further acceleration into 2H26E and 2027E. Pricing remains largely stable, with MSR at Rmb1,909, mainly reflecting a minor decline from contract renewals, offsetting by declining unit buildout cost, which has declined by ~15% over the past three years to Rmb20,000/KW. We project the company's backlog version to accelerate, providing high visibility for multi-year cash flow.

Earnings changes: We lower our 2026E/27E EPS estimates to Rmb0.10/0.21, from Rmb0.19/0.23, respectively. We expect strong bookings to be reflected in earnings from late 2027E.

Valuation: We trim our SOTP-based TPs by 4%/4% to US\$64.60/HK\$54.60, from US\$67.50/HK\$57.10, to reflect earnings changes. We maintain our 2026E EV/EBITDA target multiple at 18x on the company's domestic business given a strong demand upcycle.

Catalysts: Additional key clients/deals that drive backlog and/or enhance growth visibility; more clarity on imported chip supply.

Investment Thesis and Recommendation

We think GDS is poised to gain from strong demand for high-performance data centres amid accelerating AI adoption in China, with more new order commitments raising long-term growth visibility. Active capital recycling supports balance-sheet strength and scalable growth. [Prior GDS research.](#)

Software & Services Hong Kong



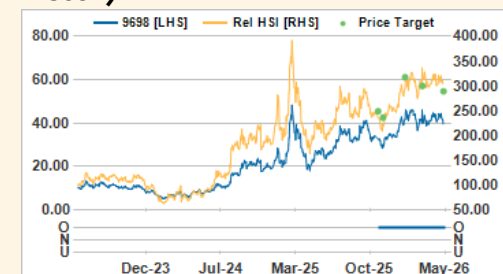
Ellie
Jiang

9698 HK/GDS US	Outperform
Price (at 20 May 2026)	HK\$39.56/ USD36.66
12-month target	HK\$54.60/ USD64.60
12-month TSR (%)	38.0/ 76.2
Volatility Index	Very High
Market Cap (Local) (m)	65,314/ 8,338
Market Cap (USD) (m)	8,338
Free Float (%)	72
30-day avg turnover (USD) (m)	24.5/ 85.3

Investment Fundamentals

Year end 31 Dec	2025A	2026E	2027E	2028E
Revenue (m)	11,432	12,559	13,959	16,530
Revenue growth (%)	10.8	9.9	11.2	18.4
EBIT (m)	(55.8)	(156.0)	15.0	103.7
EBIT growth (%)	NM	(179.9)	NM	590.7
Adjusted profit (m)	949.6	202.1	423.6	449.7
EPS adj [CNY]	0.4	0.1	0.2	0.2
EPS adj growth (%)	NM	(77.5)	109.6	6.2
Net debt/equity (%)	119.8	117.3	118.6	119.2
ROA (%)	(0.1)	(0.2)	0.0	0.1
ROE (%)	3.8	0.7	1.5	1.6
PER adj (x)	77.8	345.4	164.8	155.2
EV/EBITDA (x)	25.5	25.5	21.8	18.1
P/BV (x)	2.0	1.9	1.8	1.8
Quant (rank vs. global sector)	252 / 791			

9698 HK rel HSI performance, & rec history



Source: FactSet, Macquarie Research, May 2026 (all figures in CNY unless noted, TP in HKD)

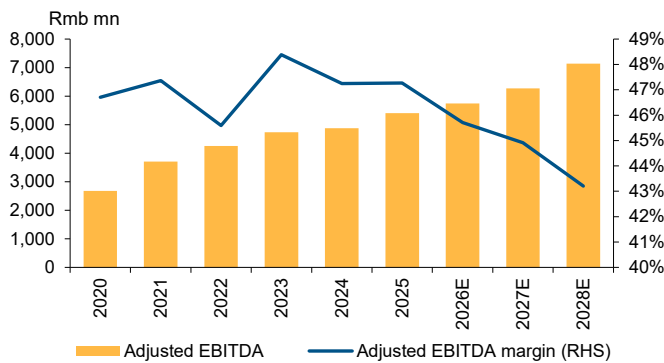
Key Risks to Investment Thesis

- Change in relationships with major customers could adversely affect operations due to high client concentration.
- Weaker-than-expected execution and asset management could lead to more challenging funding environment and threaten ongoing investments.
- Potential regulatory change in domestic DC buildout could affect supply-demand balance and reduce pricing power.
- Potential sell-off from major shareholders.

Company Description

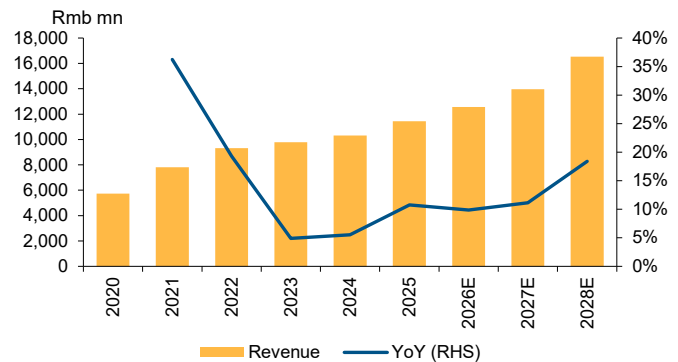
Founded in 2001, listed in the US in 2016 and then in Hong Kong in 2020, GDS is a leading developer and operator of high-performance data centres in China. Operating in China and Southeast Asia, the company had 618,060sqm of area in service and 132,235sqm of area under construction by the end of 2Q25.

Figure 1 - GDS: Adjusted EBITDA and adjusted margin



Source: Company data, Macquarie Research, May 2026

Figure 2 - GDS: Revenue and YoY growth



Source: Company data, Macquarie Research, May 2026

GDS Holdings (9698 HK) CNY/(m) unless otherwise noted

Income Statement	Dec FY	2025A	2026E	2027E	2028E	Q1/26A	Q2/26E	Balance Sheet	2025A	2026E	2027E	2028E
Revenue		11,432	12,559	13,959	16,530	3,367	3,155	Cash	14,306	14,104	12,838	11,620
Cost of Goods Sold		8,847	9,796	10,777	12,711	2,236	2,492	Receivables	2,467	3,015	3,351	3,968
Gross Profit		2,585	2,763	3,183	3,818	1,132	662.6	Inventories	0.0	0.0	0.0	0.0
EBITDA		3,404	3,360	3,924	4,732	1,787	808.4	Investments	10,052	10,052	10,052	10,052
Depreciation		3,459	3,516	3,909	4,628	879.1	879.1	Fixed Assets	42,902	44,409	46,363	48,347
Amortisation		0.0	0.0	0.0	0.0	0.0	0.0	Intangibles	5,461	5,461	5,461	5,461
EBIT		(55.8)	(156.0)	15.0	103.7	908.0	(70.7)	Other Assets	4,810	4,408	4,561	4,842
Net Interest Income		(1,635)	(1,484)	(1,493)	(1,550)	(379.8)	(371.0)	Total Assets	79,998	81,449	82,626	84,290
Associates		0.0	0.0	0.0	0.0	0.0	0.0	Payables	1,932	2,505	2,756	3,251
Exceptionals		0.0	0.0	0.0	0.0	0.0	0.0	Short Term Debt	3,759	3,759	3,759	3,759
Forex Gains / Losses		0.0	0.0	0.0	0.0	0.0	0.0	Long Term Debt	43,765	43,765	43,765	43,765
Other Pre-Tax Income		3,120	1,833	2,000	2,000	2,233	(300.0)	Other Liabilities	2,805	2,933	3,089	3,398
Pre-Tax Profit		1,429	192.6	521.9	554.0	2,761	(741.8)	Total Liabilities	52,261	52,962	53,370	54,174
Tax Expense		(469.7)	11.6	(93.9)	(99.7)	(108.7)	(10.5)	Shareholders' Funds	26,840	27,592	28,366	29,230
Net Profit		959.4	204.2	427.9	454.3	2,652	(752.3)	Minority Interests	897.4	895.3	891.0	886.4
Minority Interests		(9.7)	(2.1)	(4.3)	(4.6)	(3.4)	7.6	Total S/H Equity	27,737	28,487	29,257	30,116
Reported Earnings		949.6	202.1	423.6	449.7	2,649	(744.6)	Total Liab & S/H Funds	79,998	81,449	82,626	84,290
Adjusted Earnings		949.6	202.1	423.6	449.7	2,649	(744.6)	Net Debt / Equity (%)	119.8	117.3	118.6	119.2
Basic Shares Outstanding		1,554.3	1,520.3	1,520.3	1,520.3	1,554	1,520	Interest Cover (x)	(0.0)	(0.1)	0.0	0.1
Diluted Shares Outstanding		1,709.3	2,031.7	2,031.7	2,031.7	2,032	2,032	ROE (%)	3.8	0.7	1.5	1.6
EPS (adj) [CNY]		0.4	0.1	0.2	0.2	1.3	(0.4)	ROA (%)	(0.1)	(0.2)	0.0	0.1
								ROIC (%)	(0.1)	(0.3)	0.0	0.1
Ratio		2025A	2026E	2027E	2028E			Cash Flow Analysis	2025A	2026E	2027E	2028E
Revenue Growth (%)		10.8	9.9	11.2	18.4	-	-	EBITDA	3,404	3,360	3,924	4,732
EBITDA Growth (%)		(22.6)	(1.3)	16.8	20.6	-	-	Tax Paid	(469.7)	11.6	(93.9)	(99.7)
EBIT Growth (%)		NM	(179.9)	NM	590.7	-	-	Chgs in Working Cap	(94.0)	(555.4)	81.7	94.0
EPS Growth (adj) (%)		NM	(77.5)	109.6	6.2	-	-	Net Interest Paid	(1,635)	(1,484)	(1,493)	(1,550)
Gross Profit Margin (%)		22.6	22.0	22.8	23.1	-	-	Other	2,160	3,489	2,178	2,217
EBITDA Margin (%)		29.8	26.8	28.1	28.6	-	-	Operating Cashflow	3,365	4,822	4,597	5,394
EBIT Margin (%)		(0.5)	(1.2)	0.1	0.6	-	-	Capex	(3,447)	(5,024)	(5,863)	(6,612)
Net Profit Margin (%)		8.3	1.6	3.0	2.7	-	-	Other	406.9	0.0	0.0	0.0
Payout Ratio (%)		0.0	0.0	0.0	0.0	-	-	Investing Cashflow	(3,040)	(5,024)	(5,863)	(6,612)
PE (adj) (x)		77.8	345.4	164.8	155.2	-	-	Debt Movements	6,106	0.0	0.0	0.0
EV/EBITDA (x)		25.5	25.5	21.8	18.1	-	-	Other	0.0	0.0	0.0	0.0
EV/EBIT (x)		(1,557.5)	(549.0)	5,703.6	825.7	-	-	Financing Cashflow	6,106	0.0	0.0	0.0
Price/Book (x)		2.0	1.9	1.8	1.8	-	-	Net Chg in Cash/Debt	6,347	(201.8)	(1,266)	(1,218)
								Free Cashflow	(81.7)	(201.8)	(1,266)	(1,218)

Source: Company data, Macquarie Research May 2026

Figure 3 - Data centre companies: Valuation comparisons

Company Name	Stock Code	MQ Analyst	Rating	Target Price (Local \$)	Price (Local \$)	TSR %	Mkt Cap (US\$m)	EV/EBITDA (x)			P/S (x)			Net Debt/EBITDA (x)			Net Debt (US\$m)
								2026E	2027E	2028E	2026E	2027E	2028E	2026E	2027E	2028E	
China data centre																	
GDS	GDS US	Ellie Jiang	Outperform	\$61.80	\$42.13	47%	\$8,097	15.2	14.1	12.6	4.3	3.9	3.3	6.1	5.8	5.5	\$4,665
Beijing Sinnet	300383 CH	NR	NR	NR	\$16.53	NR	\$4,367	27.4	72.0	20.0	3.7	3.4	nmf	2.2	1.3	0.9	\$446
AtHub	603881 CH	NR	NR	NR	\$40.79	NR	\$4,307	31.6	31.5	25.2	14.9	14.0	nmf	1.3	0.7	0.1	\$205
VNET	VNET US	NR	NR	NR	\$10.09	NR	\$2,873	14.3	11.5	11.6	1.7	1.4	nmf	7.0	6.6	6.4	\$2,978
Aofei Data	300738 CH	NR	NR	NR	\$26.73	NR	\$3,870	46.3	28.0	21.0	7.8	6.3	nmf	6.2	5.7	4.8	\$1,085
Sub average								26.9	31.4	18.1				4.6	4.0	3.5	
Global data centre																	
Equinix	EQIX US	NR	NR	NR	\$1,043.27	NR	\$103,401	34.7	30.0	23.7	10.1	9.2	nmf	3.9	3.9	3.9	\$17,562
Digital Realty	DLR US	NR	NR	NR	\$186.28	NR	\$66,615	35.1	31.0	22.9	9.9	8.9	nmf	4.8	4.9	4.9	\$16,084
NEXTDC	NXT AU	NR	NR	NR	\$14.22	NR	\$7,691	60.1	56.5	42.5	21.2	14.4	nmf	4.3	11.3	18.3	\$601
Sub average								43.3	39.2	29.7				4.3	6.7	9.0	
Bitcoin miners																	
IREN	IREN US	NR	NR	NR	\$47.74	NR	\$17,061	123.7	59.6	nmf	15.4	5.4	nmf	0.8	6.4	2.9	\$196
Cipher Mining	CIFR US	NR	NR	NR	\$18.80	NR	\$7,690	189.0	-59.0	-585.9	35.1	11.2	nmf	6.1	nmf	7.2	\$696
Riot Platforms	RIOT US	NR	NR	NR	\$22.65	NR	\$8,563	24.9	-34.6	-43.2	13.2	10.5	nmf	0.6	nmf	2.5	\$234
Core Scientific	CORZ US	NR	NR	NR	\$22.92	NR	\$7,286	-528.7	-53.6	42.2	11.3	6.3	nmf	-13.7	-12.7	-5.3	-\$572
MARA	MARA US	NR	NR	NR	\$12.44	NR	\$4,743	9.2	-15.2	-13.5	6.1	5.1	nmf	1.4	nmf	-3.5	\$1,721
CleanSpark	CLSK US	NR	NR	NR	\$14.69	NR	\$3,770	30.9	12.1	nmf	5.9	4.9	nmf	0.8	nmf	6.0	\$564
Sub average								-25.2	-15.1	-150.1				-0.7	-0.7	1.6	
New cloud																	
CoreWeave	CRWV US	Paul Golding	Outperform	\$140.00	\$99.81	40%	\$54,453	nmf	12.1	7.1	nmf	4.2	2.2	nmf	4.8	2.5	\$62,577
Nebius	NBIS US	NR	NR	NR	\$197.73	NR	\$50,203	nmf	-260.1	33.9	14.9	4.9	nmf	nmf	6.6	3.6	\$191
Sub average								nmf	-124.0	20.5	14.9	4.5	2.2	nmf	5.7	3.0	
Average								15.0	-17.1	-20.5	14.9	4.5	2.2	2.7	3.9	4.3	

Source: Bloomberg, Macquarie Research, May 2026

Prices as of close of 20-May-2026 for HK and China traded shares, and 19-May-2026 for US traded shares; CPs/TPs are in local currencies.

Estimates GDS (GDS.US/9698.HK) and CoreWeave (CRWV.US) are based on Macquarie estimates. Estimates for Not Rated companies are based on Bloomberg consensus.

Figure 4 - GDS: 1Q26 earnings review

(RMB mn)	Quarterly			Previous estimate	% chg	Consensus	
	1Q25	4Q25	1Q26	1Q26E	% chg	1Q26E	% chg
Total Revenue	2,723	2,922	3,367	2,880	17%	2,988	13%
Yoy %	12%	9%	24%	6%		10%	
Gross Profit	645	612	1,132	605	87%	702	61%
Gross margin, %	23.7%	21.0%	33.6%	21.0%	12.6 ppts	23.5%	10.1 ppts
Operating Expense	280	249	224	263	-15%	292	-23%
S&M	33	42	37	43	-15%	38	-3%
G&A	239	199	177	212	-16%	247	-28%
R&D	8	8	10	8	16%	8	20%
Operating profit (GAAP)	365	-1,198	908	-52	n.a.	373	143%
OP margin, %	13.4%	-41.0%	27.0%	-1.8%	28.8 ppts	12.5%	14.5 ppts
Net income (GAAP)	764	-463	2,652	48	5481%	211	1158%
Net margin, %	28.1%	-15.8%	78.8%	1.6%	77.1 ppts	7.1%	71.7 ppts
EBITDA (Non-GAAP)	1,324	1,366	1,949	1,442	35%	1,418	37%
EBITDA margin, Non-GAAP, %	48.6%	46.7%	57.9%	50.1%	7.8 ppts	47.4%	10.4 ppts
EPS (Rmb) GAAP	0.42	-0.31	1.29	0.03	4593%	-0.03	n.a.
Operating metrics							
Area in service (k sqm)	611	668	674	671.8	0%	689	n.a.
Area utilized (k sqm)	462	505	521	503.8	3%	525	n.a.
MSR (Rmb / Sqm / Month)	1,983	1,964	1,909	0.0		1,923	

Source: Company data, Visible Alpha, Macquarie Research, May 2026

Figure 5 - GDS: Estimate revisions

(RMB mn)	Annual			Previous estimates			% difference			VA Consensus			% difference		
	2026E	2027E	2028E	2026E	2027E	2028E	2026E	2027E	2028E	2026E	2027E	2028E	2026E	2027E	2028E
Total Revenue	12,559	13,959	16,530	12,298	13,684	16,279	2%	2%	2%	12,628	14,385	16,897	-1%	-3%	-2%
Yoy %	10%	11%	18%	8%	11%	19%				36%	47%	64%			
Gross Profit	2,763	3,183	3,818	2,767	3,188	3,842	0%	0%	-1%	2,860	3,340	4,033	-3%	-5%	-5%
Gross margin, %	22.0%	22.8%	23.1%	22.5%	23.3%	23.6%	-0.5 ppts	-0.5 ppts	-0.5 ppts	22.6%	23.2%	23.9%	-0.6 ppts	-0.4 ppts	-0.8 ppts
Operating Expense	1,204	1,261	1,457	1,124	1,175	1,363	7%	7%	7%	1,208	1,315	1,511	0%	-4%	-4%
S&M	188	202	236	184	198	233	2%	2%	2%	165	179	198	14%	13%	20%
G&A	980	1,019	1,174	904	938	1,083	8%	9%	8%	1,005	1,094	1,265	-3%	-7%	-7%
R&D	36	40	47	35	39	47	2%	2%	2%	38	42	49	-6%	-4%	-3%
Operating profit (GAAP)	-156	15	104	-36	144	256	328%	-90%	-60%	1,530	1,898	2,416	n.a.	-99%	-86%
OP margin, %	-1.2%	0.1%	0.6%	-0.3%	1.1%	1.6%	-0.9 ppts	-0.9 ppts	-0.9 ppts	12.1%	13.2%	14.3%	-13.4 ppts	-13.1 ppts	-13.7 ppts
Net income (GAAP)	204	428	454	330	394	487	-38%	9%	-7%	515	400	897	-60%	7%	-49%
Net margin, %	1.6%	3.1%	2.7%	2.7%	2.9%	3.0%	-1.1 ppts	0.2 ppts	-0.2 ppts	4.1%	2.8%	5.3%	-2.5 ppts	0.3 ppts	-2.6 ppts
EBITDA (Non-GAAP)	5,741	6,270	7,142	5,958	6,657	7,706	-4%	-6%	-7%	5,899	6,712	7,909	-3%	-7%	-10%
EBITDA margin, Non-GAAP, %	45.7%	44.9%	43.2%	48.4%	48.6%	47.3%	-2.7 ppts	-3.7 ppts	-4.1 ppts	46.7%	46.7%	46.8%	-1.0 ppts	-1.7 ppts	-3.6 ppts
EPS (Rmb) GAAP	0.10	0.21	0.22	0.19	0.23	0.28	-48%	-9%	-21%	0.20	0.28	0.59	-49%	-26%	-62%
Operating metrics															
Area in service (k sqm)	748	876	1,068	735	860	1,049	2%	2%	2%	740	851	979	1%	3%	9%
Area utilized (k sqm)	580	657	823	558	655	802	4%	0%	3%	578	681	815	0%	-4%	1%
MSR (Rmb / Sqm / Month)										1,941	1,886	1,847			

Source: Company data, Visible Alpha, Macquarie Research, May 2026

Key Quant Findings

The quant model currently holds a marginally positive view on GDS Holdings. The strongest style exposure is Growth, indicating this stock has good historic and/or forecast growth. Growth metrics focus on both top and bottom line items. The weakest style exposure is Valuations, indicating this stock is over-priced in the market relative to its peers.

Macquarie Alpha Model: Key rankings

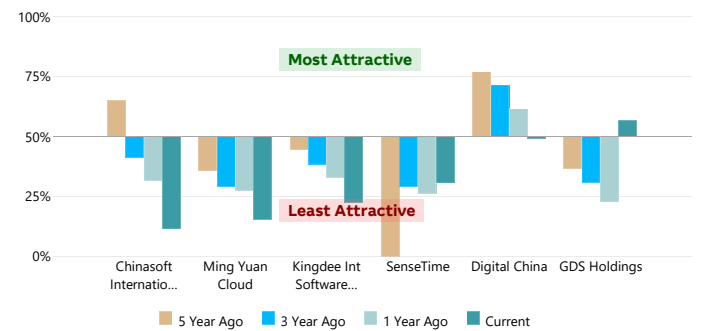
The Macquarie Quant’s flagship Alpha model is a dynamic multi-factor model based on a staple of quant factors such as value, momentum, revisions, quality, and risk.

	Global	Market (Country)	Sector
	Whole Universe	Hong Kong	Software & Services
Macquarie Alpha Model	7172/17944	256/594	252/791
Fundamental (Consensus) *	1/17944	1/594	1/791

* based on Total Shareholder Return = Consensus Price target / Current Price

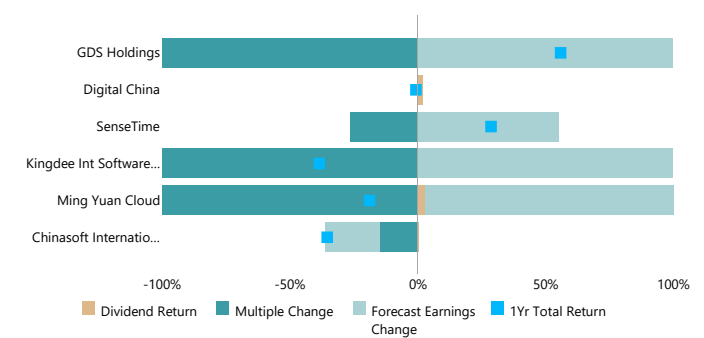
Current and Historical Alpha Model Rank

The chart shows the Macquarie Alpha model market ranking against the company’s peers and over recent history.



Drivers of Stock Return

Breakdown of 1-year total return (local currency) into returns from dividends, changes in forward earnings estimates and the resulting change in earnings multiple.



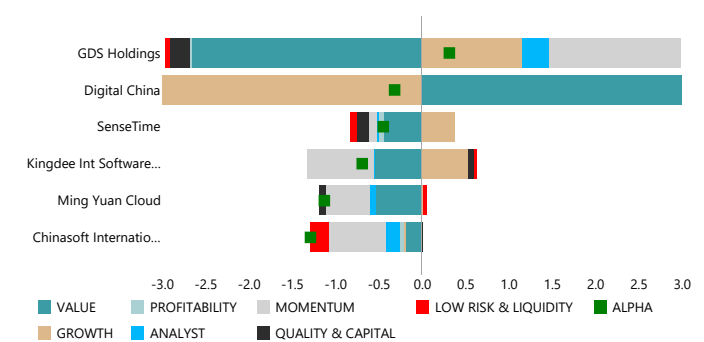
Alpha Model Decomposition

The Macquarie Alpha is decomposed into its sector and market relative factor & styles exposures (a higher/better percentile is coded in green, whilst lower in red).

Factors / Styles	Percentile relative to		Core factors in definition
	sectors (/791)	market (/594)	
ALPHA	68%	57%	Built from the styles below
VALUE	33%	22%	Book, CF, Yield, Earnings Multiples
ANALYST	86%	84%	Revisions (Earnings, Recommendations)
MOMENTUM	77%	76%	Price Momentum
GROWTH	68%	80%	EPS, Sales (Forecast, Historic)
PROFITABILITY	57%	45%	ROE, Margin, Asset Turnover
QUALITY	37%	24%	Accruals, Earn Stability, Cash Conversion
CAPITAL	45%	25%	Investment/Capex, Net share issuance
LIQUIDITY	64%	50%	Size, Turnover, Analyst Coverage
LOW RISK	40%	42%	Beta, Volatility, Earn.Cert, Leverage
TECHNICAL	70%	49%	MACD, RSI, Bollinger, Williams R, etc

Factors driving the Alpha Model vs peers

For the comparable firms this chart shows the key underlying styles and their contribution to the current overall raw Alpha score.



Macquarie Style Returns over last year

Recent performance to Macquarie style factors

	Monthly Factor Long-Short Returns for												Last 5 Years (ann)	Last 10 Years (ann)
	Apr - 26	Mar - 26	Feb - 26	Jan - 26	Dec - 25	Nov - 25	Oct - 25	Sep - 25	Aug - 25	Jul - 25	Jun - 25	May - 25		
Asia Ex JP														
ALPHA	3%	4%	0%	0%	3%	3%	2%	-3%	-6%	-7%	-1%	1%	7%	5%
VALUE	-7%	6%	0%	-2%	3%	5%	4%	-4%	-4%	-3%	2%	4%	10%	4%
ANALYST	12%	-2%	0%	6%	5%	-2%	3%	4%	1%	-3%	4%	0%	15%	13%
MOMENTUM	19%	-4%	5%	8%	6%	-1%	-2%	0%	-6%	-6%	-2%	2%	2%	4%
GROWTH	7%	-4%	-1%	4%	2%	-2%	0%	5%	8%	0%	1%	0%	4%	2%
PROFITABILITY	-4%	3%	0%	-4%	1%	3%	0%	-4%	-2%	-6%	1%	3%	-5%	-2%
QUALITY	-4%	2%	-1%	-4%	-1%	1%	-4%	-6%	1%	-3%	-4%	0%	-6%	-2%
CAPITAL	-12%	2%	-2%	2%	-1%	3%	-3%	-1%	-2%	-1%	-1%	0%	1%	-4%
LIQUIDITY	7%	-1%	3%	1%	2%	-1%	-1%	3%	3%	-2%	1%	2%	-4%	2%
LOW RISK	-13%	6%	-2%	-8%	-2%	5%	1%	-6%	-11%	-9%	-5%	-1%	-8%	-7%

Source (all charts): FactSet, Refinitiv, and Macquarie Quant. For more details on the Macquarie Alpha model or for more customised analysis and screens, please contact the Macquarie Global Quantitative Team: maccapequitiesresearchquantglobal@macquarie.com. Explanation for items on this page can be found at <https://www.macquarieinsights.com/rp/d/r/p/OTUyMzg1>

Analysts

Ellie Jiang

+852 3922 4110

ellie.jiang@macquarie.com

Macquarie Capital Limited

Important Disclosures

Recommendation definitions	Volatility index definition	Financial definitions
Macquarie – Asia and USA Outperform – expected return >10% Neutral – expected return from -10% to +10% Underperform – expected return <-10% Macquarie – Australia/New Zealand Outperform – expected return >10% Neutral – expected return from 0% to 10% Underperform – expected return <0% During periods of share price volatility, recommendations and target prices may occasionally and temporarily be inconsistent with the above definitions. Recommendations – 12 months 12-month target – Expected share price in 12 months Valuation – The company's estimated fair value share price based on the disclosed valuation methodology Note: Quant recommendations may differ from Fundamental Analyst recommendations	This is calculated from the volatility of historical price movements. Very high – highest risk – Stock should be expected to move up or down 60–100% in a year – investors should be aware this stock is highly speculative. High – stock should be expected to move up or down at least 40–60% in a year – investors should be aware this stock could be speculative. Medium – stock should be expected to move up or down at least 25–40% in a year. Low – stock should be expected to move up or down at least 15–25% in a year. * Applicable to select stocks in Asia/Australia/NZ Note: expected return is reflective of a Medium Volatility stock and should be assumed to adjust proportionately with volatility risk	All "Adjusted" data items have had the following adjustments made: Added back: goodwill amortisation, provision for catastrophe reserves, IFRS derivatives & hedging, IFRS impairments & IFRS interest expense Excluded: non recurring items, asset revals, property revals, appraisal value uplift, preference dividends & minority interests EPS = adjusted net profit / efpowa* ROA = adjusted ebit / average total assets ROA Banks/Insurance = adjusted net profit / average total assets ROE = adjusted net profit / average shareholders funds Gross cashflow = adjusted net profit + depreciation *equivalent fully paid ordinary weighted average number of shares All Reported numbers for Australian/NZ listed stocks are modelled under IFRS (International Financial Reporting Standards).

Recommendation proportions for quarter ending 31 Mar 2026

	AU/NZ	Asia	USA	
Outperform	66.90%	69.32%	67.14%	(for global coverage by Macquarie, 1.93% of stocks followed are investment banking clients)
Neutral	27.18%	17.21%	32.86%	(for global coverage by Macquarie, 0.40% of stocks followed are investment banking clients)
Underperform	5.92%	13.47%	0.00%	(for global coverage by Macquarie, 0.00% of stocks followed are investment banking clients)

Company-Specific Disclosures

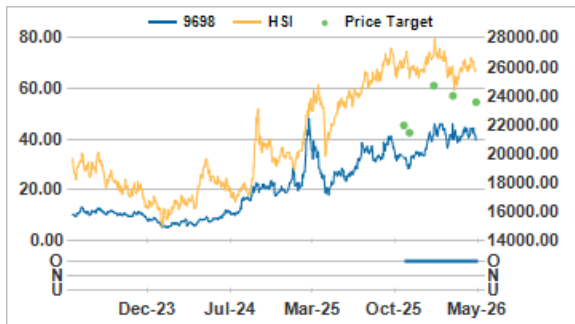
Company Name	Disclosure
GDS Holdings (9698 HK) Outperform 12-month target: HK\$54.60 - EV/EBITDA Valuation: HKD 54.60 - EV/EBITDA Price: HK\$39.56	Macquarie Capital Limited makes a market in the securities of GDS Holdings Ltd.
GDS Holdings (GDS US) Outperform 12-month target: USD64.60 - EV/EBITDA Valuation: USD 64.60 - EV/EBITDA Price: USD36.66	Macquarie Capital Limited makes a market in the securities of GDS Holdings Ltd.

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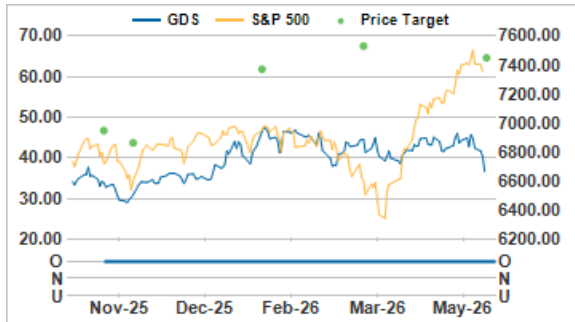
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Recommendation history

Company name	Date	Recommendation	Target price
GDS Holdings (9698 HK)	21-May-2026	Outperform	HKD 54.60
	19-Mar-2026	Outperform	HKD 57.10
	26-Jan-2026	Outperform	HKD 61.10



GDS Holdings (GDS US)



21-Nov-2025	Outperform	HKD 42.50
6-Nov-2025	Outperform	HKD 45.40

21-May-2026	Outperform	USD 64.60
19-Mar-2026	Outperform	USD 67.50
26-Jan-2026	Outperform	USD 61.80
21-Nov-2025	Outperform	USD 43.70
6-Nov-2025	Outperform	USD 46.70

Sensitivity analysis:

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